

Meridian Bank

SOX ITGC Posture Review (PCAOB Section 404)

DOCUMENT ID	VERSION	PERIOD
IJZ-MER-SOX-ITGC-20260627	v3.0	FY 2026 SOX Audit Cycle
PREPARER	CLASSIFICATION	STATUS
Ijezie Risk Advisory	CONFIDENTIAL	Draft - Pending Review

title: "Meridian Bank SOX ITGC Posture Review" doc_id: IJZ-MER-SOX-ITGC-20260627 date: 2026-06-27 classification: CONFIDENTIAL preparer: Ijezie Risk Advisory persona: Meridian Bank, N.A. engagement: SOX ITGC posture review for 2026 audit cycle period: FY 2026 SOX Audit Cycle

Meridian Bank SOX ITGC Posture Review

> Sarbanes-Oxley Section 404 IT General Controls posture review for Meridian Bank's 2026 PCAOB audit cycle. Covers 12 in-scope IT processes supporting 14 financial reporting assertions.

1. Scope and Methodology

Meridian Bancshares, Inc. (NYSE: MRDN) has been SOX-compliant since IPO in 2018. The 2025 PCAOB audit was clean. The 2026 audit cycle is in progress (PCAOB auditor on-site during Q2 and Q3).

This posture review evaluates the design and operating effectiveness of IT General Controls (ITGC) supporting financial reporting assertions across the following in-scope IT processes:

- 1. Core banking (FIS Profile) - deposit, loan, general ledger
- 2. Wire transfer (ACI Posttrade)
- 3. Card services (Fiserv)
- 4. Trust operations (Jack Henry SilverLake)
- 5. ATM driving (Fiserv network)
- 6. FedLine Advantage access
- 7. General ledger (Oracle Financials)
- 8. Accounts payable (Coupa)
- 9. Payroll (Workday)
- 10. Treasury management (FIS treasury module)
- 11. ACH origination
- 12. Customer master data management

The 2026 cycle focuses on three areas of heightened PCAOB focus: (a) ITGCs at third-party service providers (FIS, ACI, Fiserv, Jack Henry), (b) user access management for privileged accounts, and (c) change management for digital banking applications.

2. ITGC Domain Assessments

2.1 User Access Management (UAM)

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
New user provisioning (Joiner)	Effective	Effective (95% automated via HR-driven workflow)	None

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
User modification (Mover)	Effective	Effective (quarterly attestation)	None
User termination (Leaver)	Effective	Effective (24-hour SLA, 99.4% achievement)	None
Privileged access management	Effective	Effective (CyberArk vault, session recording)	None
Quarterly user access review	Effective	Effective (98% completion rate, 12,000 accounts)	None
Segregation of duties (SoD)	Effective	Effective (rule-based SoD in Oracle Financials)	None
Remote access controls	Effective	Effective (VPN + MFA, 100% of remote users)	None

UAM domain: 7/7 controls effective. No material weakness identified.

2.2 Change Management

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
Production change approval (CAB)	Effective	Effective (ServiceNow workflow, 100% of changes CAB-approved)	None
Development-to-production segregation	Effective	Effective (separate Azure subscriptions, no developer prod access)	None
Emergency change procedure	Effective	Effective (post-implementation CAB review, 100% within 48 hours)	None
Code review for internally developed	Effective	Effective (peer review required, 4-eyes principle)	None
Vendor-managed change oversight (FIS, ACI, Fiserv)	Effective	Effective (SOC 1 Type 2 review annually; quarterly SLA review)	Heightened PCAOB focus 2026
Release management	Effective	Effective (formal release calendar)	None
Rollback capability tested	Effective	Effective (100% of changes have tested rollback)	None

Change management domain: 7/7 controls effective. Vendor-managed change oversight is a heightened PCAOB focus area for 2026.

2.3 Computer Operations

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
Job scheduling and monitoring	Effective	Effective (24x7 SOC monitoring, auto-retry, alerting)	None
Batch processing integrity	Effective	Effective (file count and hash verification, 99.97% achievement)	None

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
Backup and recovery	Effective	Effective (daily incremental, weekly full, 30-day retention, quarterly DR test)	None
Incident management	Effective	Effective (P1 within 1 hour, P2 within 4 hours, P3 within 24 hours)	None
Capacity management	Effective	Effective (monthly capacity reviews)	None
Problem management	Effective	Effective (root cause analysis for P1 incidents)	None

Computer operations domain: 6/6 controls effective.

2.4 Program Development

CONTROL	DESIGN	OPERATING EFFECTIVENESS	GAP
SDLC methodology documented	Effective	Effective	None
Requirements traceability	Effective	Effective (Jira + Confluence integration)	None
Design review	Effective	Effective (architecture review board)	None
Code quality (static analysis)	Effective	Effective (SonarQube for internally developed)	None
Unit testing coverage	Effective	Effective (80% minimum, enforced)	None
User acceptance testing (UAT)	Effective	Effective (business owner sign-off required)	None
Post-implementation review	Effective	Effective (30-day PIR for all major releases)	None

Program development domain: 7/7 controls effective.

Meridian Bank Multi-Framework Cross-Walk
12 Meridian Controls x 3 Frameworks (FFIEC CAT + GLBA Safeguards + SOX ITGC)

Meridian Control	FFIEC CAT	GLBA	SOX ITGC
Identity & Access Mgmt	D1, D3	314.4(c)(1),(5)	ITGC-UAM-01
Asset Inventory	D1, D3	314.4(c)(2)	ITGC-OPS-04
Encryption (TLS 1.3, AES-256)	D3	314.4(c)(3)	ITGC-OPS-12
MFA on All Access	D3	314.4(c)(5)	ITGC-UAM-07
Vulnerability Mgmt	D3	314.4(c)(8),(9)	ITGC-OPS-09
Change Management	D1, D3, D5	314.4(c)(7)	ITGC-CM-01
Incident Response Plan	D5	314.4(c)(10)	ITGC-OPS-15
Business Continuity / DR	D5	314.4(d)	ITGC-OPS-18
Vendor Risk Mgmt	D4	314.4(c)(11),(12)	ITGC-TPRM-01
Privileged Access Mgmt	D3	314.4(c)(1)	ITGC-UAM-04
Audit Log Forwarding	D3, D5	314.4(c)(8)	ITGC-OPS-08
Board Risk Reporting	D1, D5	314.4(e)	ITGC-GOV-03

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Figure 1: Meridian Bank Multi-Framework Cross-Walk - 12 Controls x 3 Frameworks (FFIEC CAT + GLBA + SOX ITGC)

3. PCAOB Heightened Focus Areas (2026 Cycle)

3.1 ITGCs at Third-Party Service Providers

The PCAOB has heightened focus on ITGCs at service organizations supporting client financial reporting. Meridian relies on FIS, ACI, Fiserv, and Jack Henry for core financial reporting IT processes.

Current mitigations:

- SOC 1 Type 2 reports obtained annually for FIS, ACI, Fiserv, Jack Henry
- Bridge letter covering gap between SOC 1 report date and year-end
- Quarterly SLA review for critical vendors
- Right-to-audit clauses in MSAs

2026 PCAOB asks (anticipated):

- Subservice organization controls - FIS, ACI, Fiserv subprocessor transparency
- Complementary user entity controls (CUECs) - validation that Meridian has implemented
- Vendor management process documentation - TPRM policy and procedures

Action items: Subservice organization inventory refresh by Q3 2026; CUEC validation evidence collection by Q3 2026; TPRM documentation enhancement by Q4 2026.

3.2 Privileged Access Management

The PCAOB has heightened focus on privileged access to financial reporting systems.

Current mitigations:

- CyberArk PAM for all Tier 1 admin accounts
- Session recording for all privileged sessions
- Quarterly privileged access review
- Just-in-time (JIT) access for emergency changes

2026 PCAOB asks (anticipated):

- PAM coverage completeness - validate all privileged paths are in CyberArk
- Session review sampling - documentation of session review process
- Emergency access workflow - documentation of JIT request and approval

Action items: PAM coverage gap analysis by Q3 2026; session review process documentation by Q4 2026.

3.3 Change Management for Digital Banking Applications

The PCAOB has heightened focus on change management for customer-facing applications that may impact financial reporting (e.g., fee calculations, interest posting).

Current mitigations:

- CAB approval for all production changes
- Code review and 4-eyes principle
- Automated testing (90%+ coverage for digital banking)
- Canary deployment with feature flags
- Rollback capability tested

2026 PCAOB asks (anticipated):

- Feature flag governance - process for managing feature flags that affect financial calculations
- Database change approvals - separate approval workflow for schema changes
- Customer-facing financial calculation testing - specific test evidence

Action items: Feature flag governance documentation by Q3 2026; database change process documentation by Q4 2026; financial calculation test evidence collection by Q4 2026.

4. SOX Material Weakness Assessment

No material weakness identified. No significant deficiency identified.

Control deficiencies noted (below significant deficiency threshold):

- Documentation gap in TPRM subservice organization controls
- Process documentation gap in feature flag governance

These are documentation gaps, not control failures. The underlying controls (SOC 1 review, CAB approval, automated testing) are operating effectively.

5. What This Demonstrates

This posture review demonstrates the vCISO discipline of working a PCAOB auditor's framework (SOX 404 ITGC) while maintaining the bank-specific lens (correspondent banking, wire transfer, customer NPI handling). The 2026 heightened focus areas align with the broader regulatory trend of holding banks accountable for third-party ITGCs.

6. Review and Update Schedule

- **Quarterly:** SOX steering committee review
- **Annually:** Full posture review prior to PCAOB on-site
- **Trigger-based:** Update upon any PCAOB AS update, new financial reporting system, or material vendor change